Constitutional Markets

Prices, Contracts, and Economic Coordination as Admissible Continuation

Markets may coordinate not because participants optimize, but because constitutions govern what may continue.

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Abstract

This paper presents a constitutional theory of markets.

Conventional economics typically models markets as collections of agents optimizing utility under constraints. Prices coordinate behavior through information transmission and incentive alignment. The constitutional perspective proposes a different interpretation.

Markets are treated as constitutional systems governing admissible continuation.

Within this framework, prices, contracts, property rights, regulations, norms, institutions, and currencies function as constitutional operators. Their primary role is not to optimize outcomes but to shape the continuation space available to participants.

The paper introduces:

- constitutional markets,
- economic admissibility,
- continuation pricing,
- contractual continuation,
- market constitutions.

The framework does not deny optimization. Rather, it treats optimization as behavior occurring within constitutional structures that determine which futures remain available.

The central claim:

> Markets coordinate through admissible continuation before they coordinate through optimization.

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1. Introduction

The dominant question of economics has historically been:

> How do agents allocate scarce resources?

The answers differ:

- utility maximization,
- equilibrium formation,
- game-theoretic interaction,
- institutional economics,
- evolutionary economics.

Despite these differences, most approaches share an assumption.

The agent is primary.

The constitutional perspective begins elsewhere.

It asks:

> What futures does the market permit?

This shift changes the object of study.

The market becomes a constitutional structure governing participation.

Prices become continuation signals.

Contracts become admissibility operators.

Institutions become continuation architectures.

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2. The Optimization Assumption

Most economic theories assume:

```
text id="t4m9xj" Preferences       | Optimization       | Choice
| Market Outcome
```

The constitutional perspective introduces a different sequence.

```
text id="d7rq3c" Market Constitution       | Admissible Continuation
| Participation       | Outcome
```

Optimization remains possible.

Optimization is not primary.

The primary object becomes continuation.

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3. Market Constitutions

Let:

$$S$$

denote the economic state space.

Let:

$$A_t \subseteq S \times S$$

denote admissible economic continuation.

The market constitution:

$$C_M$$

determines:

$$A_t.$$

Participants do not operate within unrestricted possibility.

They operate within constitutionally structured continuation.

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4. Economic Admissibility

Economic continuation is admissible when:

$$(s_t, s_{t+1}) \in A_t.$$

Admissibility may be determined through:

- property rights,
- contracts,
- regulations,
- currencies,
- institutional norms,
- enforcement systems.

These structures determine what transactions may continue.

The market therefore functions constitutionally before it functions computationally.

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5. Prices as Continuation Signals

Prices are traditionally interpreted as information.

The constitutional interpretation is different.

A price alters continuation.

Let:

$$p$$

denote a price signal.

The price becomes meaningful when:

$$A_t(p) \neq A_t.$$

The price changes admissibility.

Certain futures become more accessible.

Others become less accessible.

Prices therefore function as continuation signals.

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6. Contracts as Constitutional Operators

Contracts are among the clearest constitutional structures in economics.

Let:

$$K$$

denote a contract.

The contract induces:

$$A_K.$$

Future actions become:

- permitted,
- prohibited,
- required,
- contingent.

The contract directly modifies continuation.

Its economic role is constitutional.

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7. Property Rights

Property rights determine continuation authority.

Let:

$$R(x)$$

denote rights associated with resource:

$$x.$$

Rights determine which participants may alter continuation involving:

$$x.$$

Property therefore functions as a constitutional allocation of continuation authority.

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8. Institutions as Continuation Structures

Institutions shape economic continuation across time.

Examples include:

- courts,
- corporations,
- governments,
- exchanges,
- banking systems.

Institutions stabilize admissibility.

They reduce uncertainty regarding future continuation.

This stabilizing role may be more fundamental than optimization itself.

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9. Currency

Currency is traditionally viewed as:

- medium of exchange,
- unit of account,
- store of value.

The constitutional interpretation introduces a fourth role.

Currency is a continuation-enabling instrument.

Let:

$$M$$

denote monetary capacity.

Admissible continuation expands with:

$$M.$$

Currency therefore modifies reachable futures.

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10. Scarcity

Scarcity may be interpreted constitutionally.

Scarcity restricts admissibility.

Let:

$$R$$

denote available resources.

Then:

$$A(R_1) \supseteq A(R_2)$$

when:

$$ R_1

R_2. $$

Scarcity contracts continuation space.

Abundance expands it.

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11. Economic Meaning

Prices, contracts, and institutions possess meaning because they alter continuation.

Their semantic function derives from admissibility.

The constitutional framework therefore unifies:

- economics,
- governance,
- meaning-binding.

Economic signals become meaningful through continuation effects.

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12. Market Intelligence

Markets frequently appear intelligent.

Traditional explanations emphasize distributed information processing.

The constitutional perspective introduces a complementary explanation.

Market intelligence may emerge from constitutional structure.

Participants need not possess global awareness.

The constitution coordinates continuation.

Intelligence emerges from participation.

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13. Market Failure

Market failure becomes constitutional failure.

Examples include:

- continuation deadlock,
- contradiction accumulation,
- fragmentation,
- authority ambiguity,
- admissibility collapse.

The failure occurs not merely because optimization fails.

The continuation structure fails.

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14. Regulatory Structures

Regulation modifies admissibility.

Let:

$$G$$

denote a regulatory operator.

Then:

$$A_G \neq A.$$

The regulation changes continuation.

Regulation therefore becomes constitutional modification rather than external interference.

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15. Constitutional Debt

Markets accumulate constitutional debt.

Examples include:

- regulatory contradictions,
- contract complexity,
- institutional ambiguity,
- legal fragmentation.

Debt increases continuation cost.

The resulting burden reduces economic adaptability.

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16. Economic Evolution

Market constitutions evolve.

Let:

$$C_M(t)$$

denote the market constitution through time.

Evolution occurs when:

$$C_M(t) \to C_M(t+1).$$

Markets therefore become evolutionary constitutional systems.

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17. Economic Speciation

Distinct market systems may diverge.

Examples include:

- capitalist systems,
- socialist systems,
- cooperative systems,
- hybrid systems.

Speciation occurs when admissibility overlap diminishes.

Distinct constitutional lineages emerge.

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18. Propositions

Proposition 1 (Price Meaning)

A price possesses constitutional meaning if and only if:

$$A_t(p) \neq A_t.$$

Proof Sketch If continuation changes, the price influences future structure.

The price therefore possesses constitutional meaning.

Proposition 2 (Contractual Continuation)

Every enforceable contract modifies admissible continuation.

Proof Sketch The contract changes the set of future actions available to participants.

Admissibility changes.

Continuation changes.

19. Experimental Program

The framework proposes five branches.

Branch 1 - Continuation Mapping

Measure market admissibility.

Branch 2 - Price Influence

Measure continuation changes induced by pricing.

Branch 3 - Contract Structures

Analyze contractual continuation.

Branch 4 - Institutional Evolution

Study constitutional market evolution.

Branch 5 - Failure Analysis

Characterize market constitutional collapse.

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20. Metrics

Economic Admissibility

$$|A_t|.$$

Continuation Reachability

$$R_A.$$

Contractual Density

$$D_K.$$

Institutional Stability

$$S_I.$$

Constitutional Debt

$$D_C.$$

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21. Failure Modes

Admissibility Collapse

Economic continuation disappears.

Contractual Deadlock

Contracts become mutually incompatible.

Institutional Fragmentation

Continuation decomposes into disconnected regions.

Regulatory Contradiction

Governance structures conflict.

Continuation Capture

Admissibility becomes concentrated within narrow participant subsets.

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22. Comparative Positioning

Traditional economics asks:

> How do agents allocate resources?

Constitutional markets asks:

> How does economic structure govern continuation?

The framework shifts focus from preference satisfaction to admissibility architecture.

Optimization becomes secondary.

Continuation becomes primary.

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23. Applications

Potential applications include:

- market design,
- digital currencies,
- decentralized finance,
- institutional economics,
- governance systems,

- corporate organization,
- constitutional regulation,
- economic simulation.

The framework is substrate-neutral.

Only continuation and participation are required.

Conclusion

This paper presents a constitutional theory of markets.

Markets are treated not merely as optimization systems but as constitutional structures governing admissible continuation.

Prices become continuation signals.

Contracts become constitutional operators.

Property rights become continuation authorities.

Institutions become continuation architectures.

The framework introduces constitutional markets, economic admissibility, contractual continuation, and continuation pricing as tools for analyzing economic systems.

The central hypothesis:

> Markets coordinate through admissible continuation before they coordinate through optimization.

If correct, the deepest economic object is not preference.

It is the constitutional structure governing future possibility.

Appendix A: Formal Research Questions

1. How should economic admissibility be measured?
2. What determines continuation reachability?
3. How do contracts reshape continuation space?
4. How does constitutional debt affect markets?
5. Under what conditions do market constitutions evolve?

Appendix B: Initial Experimental Roadmap

Phase 0: Continuation instrumentation.

Phase 1: Price analysis.

Phase 2: Contract modeling.

Phase 3: Institutional studies.

Phase 4: Evolution studies.

Phase 5: Cross-market comparison.

Corpus-Wide Reference Positioning

This paper argues that a constitutional theory of markets. Its nearest external comparison fields are governance, markets, formal. The sources in [E1], [E2], [E3], [E4], [E5], [E6], [E7] are cited as predecessor literature, adjacent standards, or counterpressure - not as evidence that they caused the Ableman framework or that they validate its novel claims. The comparison isolates where established work already supplies provenance, formal assurance, institutional constraint, empirical method, or engineering practice, and where this paper adds a distinct claim about admissibility, authority, semantic custody, or governed realization.

Within the Ableman corpus, the highest-priority current cross-links are [A1], [A2], [A3], [A4], [A5], [A6], [A7]. These are links among separately custodied works, not silent identity mergers. Their role is to expose mutual dependencies, terminology collisions, and places where a reader should traverse the corpus before treating this paper as self-sufficient.

Reference-pass counterevidence and limit search

The pass applied the following pressure tests: A written constitution can legitimate domination as easily as constrain it unless amendment, participation, enforcement, and appeal remain effective in practice. Optimization can make a chosen objective efficient while preserving a bad objective, missing distributional harms, strategic behavior, or inadmissible states. Formal assurance remains relative to the encoded model, trusted base, and refinement chain; proof does not remove specification error or unmodeled environmental behavior. These limits are not generic disclaimers: they identify the assumptions that a later empirical, formal, or implementation review must try to break.

Reference-pass influence and novelty boundary

No newly added external source is asserted to be a documented authorial influence unless the predecessor source already said so. `Predecessor` means earlier relevant work;

`adjacent` means a useful comparison; `standard` means an interoperability or assurance baseline; and `counterevidence` marks work that narrows or pressures a claim. Novelty therefore remains a reviewable, claim-level question rather than an inference from a low similarity score or an absent citation.

References

External scholarship, standards, and prior art

[**E1**] Elinor Ostrom. *Governing the Commons: The Evolution of Institutions for Collective Action*. Cambridge University Press, 1990. DOI: 10.1017/CBO9780511807763. https://doi.org/10.1017/CBO9780511807763 **Relationship:** Predecessor institutional account of rule-governed collective action and polycentric governance.

[**E2**] Wil Waluchow and Dimitrios Kyritsis. "Constitutionalism." *Stanford Encyclopedia of Philosophy*, substantive revision 2023. https://plato.stanford.edu/entries/constitutionalism/ **Relationship:** Adjacent legal-philosophical account of limited authority; included to expose differences between political and computational constitutionalism.

[**E3**] Lawrence Lessig. *Code: Version 2.0*. Basic Books, 2006. https://codev2.cc/ **Relationship:** Predecessor argument that software architecture regulates behavior; the paper's contribution may be to make such regulation inspectable and revisable.

[**E4**] OECD. *Recommendation of the Council on Artificial Intelligence*. OECD/LEGAL/0449, adopted 2019 and updated 2024. legalinstruments.oecd.org source **Relationship:** Adjacent policy standard for accountability, traceability, transparency, safety, and human-centered values.

[**E5**] Harry Markowitz. "Portfolio Selection." *The Journal of Finance* 7(1), 1952, pp. 77-91. DOI: 10.1111/j.1540-6261.1952.tb01525.x. https://doi.org/10.1111/j.1540-6261.1952.tb01525.x **Relationship:** Predecessor risk-return optimization model; included to distinguish scalar optimization from governance-aware admissibility.

[**E6**] U.S. Department of the Treasury. *Tax Expenditures*. Office of Tax Analysis. home.treasury.gov source **Relationship:** Primary official baseline for the definition and estimation limits of U.S. federal tax expenditures.

[**E7**] George C. Necula. "Proof-Carrying Code." *POPL '97*, 1997, pp. 106-119. DOI: 10.1145/263699.263712. https://doi.org/10.1145/263699.263712 **Relationship:** Predecessor for binding machine-checkable evidence to executable artifacts; the present paper may demand broader semantic or constitutional obligations.

Source-head external references retained under original labels

- **Revision.** Existing source passages use this stage only as bounded context

or an obligation. The paper does not claim an independently validated contribution at this stage.

References

The entries below are corpus-internal comparison and dependency sources. Their inclusion does not establish external validation of this paper's empirical, safety, novelty, or performance claims.

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Adam Ableman *CARA: Constrained Artificial Reasoning Architecture.* Zenodo, 2025. doi:10.5281/zenodo.18099715

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Ableman corpus

[**A1**] Adam Ableman. *Ableman Constitutional Governance.* Ableman Corpus current edition; work identity `AMCS-LOCAL-WORK-79353AF163A4B0F1`; source SHA-256 `FB0D9B2D3D54168FFE70B24308D1B2766D6D663ED24502D475E975939BE97C8B`. **Corpus relationship:** priority cross-link selected by corpus profile and similarity review; no identity merger or publication effect.

[**A2**] Adam Ableman. *Constitutional Theory.* Ableman Corpus current edition; work identity `AMCS-LOCAL-WORK-D2D97C4042FD281F`; source SHA-256 `FACC256EDDE5A7D7EA18133CFC9C060CFB8C3811B0221E1969E62347F2BB69CF`. **Corpus relationship:** priority cross-link selected by corpus profile and similarity review; no identity merger or publication effect.

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[**A4**] Adam Ableman. *Universal Governance Kernel (UGK).* Ableman Corpus current edition; work identity
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Standing and Claim Boundary

This paper is a conceptual, formal, or architectural contribution unless it explicitly binds a statement to a cited external source or an exact carried evidence artifact. Unbound statements about implementation, validation, performance, safety, universality, or proof are research claims or design obligations, not established operational facts. Corpus-internal references establish conceptual lineage and comparison, not independent external confirmation.

Realization Scope and Evidence Boundary

This successor makes the paper's stage boundary explicit. It narrows claims rather than manufacturing missing evidence: a stage named as context is not thereby claimed as implemented, validated, or complete.

Corpus source and companion formats: https://github.com/AblemanMosaic/ableman-corpus
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